Conference Call Notes: Southeast Asia update

送信者: EG Southeast Asia 受信日時: 2026-10-28 16:46

【メール原文】

This is an AI-generated summary based on the call transcript. A full transcript and recording of this call are available in the portal . You can acces

Conference Call Note
Customize Email Preferences

Southeast Asia update

28 Oct 2026 03:44 EDT Listen to the recording

*

Indonesia's authorities are responding proactively to the MSCI double-downgrade threat despite President Prabowo Subianto's nationalist rhetoric, but implementation credibility remains the key variable.

*

The Philippines' Vice President Sara Duterte-Carpio faces rising—though not certain—impeachment risk, with short-term implications limited but considerable potential impact on the 2028 presidential race and foreign policy of the next administration.

*

Malaysia's ruling Pakatan Harapan (PH) coalition is expected to lose upcoming state elections in Melaka and Sarawak, but Prime Minister Anwar Ibrahim will still likely stay in power until federal elections expected in late 2027.

This is an AI-generated summary based on the call transcript. A full transcript and recording of this call are available in the portal . You can access other Eurasia Group conference calls through a personalized link for select podcast readers here .

Speakers:

*

Peter Mumford, Practice Head, Southeast Asia

*

Fadli Yusoff, Analyst, Southeast Asia

*

Olga Letticia, Associate, Southeast Asia

Indonesia: MSCI response and reform credibility

Indonesia's authorities have moved beyond general reassurances in response to the MSCI threat of a double downgrade to standalone status—a development that caught markets and officials off guard. The government's response is organized around four tracks: ownership transparency, free float reform, index composition, and market enforcement.

Specific measures include: new Financial Services Authority (OJK) disclosure requirements for shareholders holding more than 1%; a framework to identify stocks with highly concentrated shareholdings; a phased-in 15% minimum free float requirement; and the exclusion of 80 stocks from the Indonesia Stock Exchange (IDX) Jakarta Composite Index effective 2 November. The IDX is also expanding its oversight committee to include independent experts, academics, and foreign investor representatives. On enforcement, OJK emphasized it had handed out approximately 2.1 trillion rupiah ($116 million) in administrative fines across several cases, including DSSA.

The immediate watchpoint is implementation quality. The next MSCI review benchmarks are concentrated around November. MSCI has focused on the actual impact of reforms, not just their announcement.

Prabowo's public posture—defiant and nationalist—is not an accurate guide to the government's private behavior. On the MSCI issue, domestic political considerations will shape his rhetoric, but market credibility constrains what his administration can actually do. He will not publicly back down from a foreign institution, but the government will continue implementing capital market reforms in parallel. Investors should watch what the government does, not what Prabowo says.

Resource nationalism remains a structural watchpoint. The 8–9% cut to gas exports to Singapore reflects a broader policy direction: Prabowo's administration is increasingly prioritizing domestic industrialization and energy security over export volumes. The Danantara Sumberdaya Indonesia (DSI) currently covers coal, palm oil, and ferro alloys. Nickel and refined fuels are potential expansion candidates, and a revision to the oil and gas law is under active monitoring. Singapore-Indonesia bilateral ties are not seen as materially deteriorating; both sides have strong incentives to manage tensions through diplomatic channels.

On the domestic political front, Prabowo's relationship with former president Joko Widodo (Jokowi) is souring. Key Jokowi-linked figures are being sidelined through cabinet reshuffles, though the separation remains managed rather than public. Vice President Gibran Rakabuming Raka survived a recent court challenge, and his impeachment probability is assessed as very low, given the breadth of Prabowo and Jokowi's parliamentary coalition. Gibran can still obtain a qualifying diploma (via Indonesia's "Package C" program, completable in under three years) and is positioned as Prabowo's main rival in 2029. Other names emerging as potential 2029 contenders include West Java Governor Dedi Mulyadi, whose polling has already exceeded Prabowo's in some surveys; former presidential candidate Anies Baswedan, though polling lower than Dedi; and Agus Harimurti Yudhoyono, son of former president Susilo Bambang Yudhoyono and currently a coordinating minister in Prabowo's cabinet, who could run independently or as vice president.

Philippines: Impeachment math and 2028 stakes

The Senate's decision to recalibrate the impeachment threshold—from two-thirds of 24 senators to two-thirds of senators present—has lowered the bar for convicting Duterte-Carpio from 16 votes to 14. The current read: approximately six senators are very likely to vote in Duterte-Carpio's favor, approximately nine are very likely to vote against her, and five remain wavering. All 14 would need to vote against her for conviction. The situation is fluid.

Prosecutors have dropped three of four original charges against Duterte-Carpio, consolidating the case around a corruption-related allegation involving the improper accumulation of funds. This is a deliberate tactical choice—a narrower case is seen as more likely to succeed.

Short-term policy implications of conviction are limited. The more consequential outcome would be a Senate vote to permanently bar Duterte-Carpio from public office, removing her as the early frontrunner for 2028. In that scenario, the Duterte family would likely field one of her two brothers—one a congressman, one the mayor of Davao—as a presidential candidate. President Ferdinand Marcos cannot seek re-election due to the one-term limit and has not yet identified a preferred successor. A Duterte-family candidate winning in 2028 would shift Philippine foreign policy away from its current strongly pro-US orientation toward a more balanced posture, with less firm alignment with Washington and some tilt toward China. On reforms: energy security and power sector reform remain near-term priorities, constrained by limited fiscal space.

Malaysia: State elections and Anwar's survival strategy

Anwar's PH coalition is expected to lose the Melaka state election on 14 November—this would mark a fourth consecutive state poll defeat over the past year. Barisan Nasional (BN) is expected to retain Melaka, benefiting from incumbency, popular local leaders, and recent electoral momentum.

In Sarawak, elections must be called by December. The regional Gabungan Parti Sarawak (GPS) coalition is expected to hold its dominant position, bolstered by strong state-rights sentiment and its track record of extracting concessions from the federal government. Sarawak is key to Malaysia’s energy security and as a source of government revenue as it holds more than 60% of Malaysia's gas reserves.

The GPS-led Sarawak state government has been pushing hard for its oil and gas company, Petros, to gain a larger share of the sector, at the expense of national oil company Petronas. Mediation between Petronas and Sarawak is ongoing alongside a court case over oil and gas rights. A negotiated profit-sharing agreement is the most likely outcome, but a worst-case scenario—Sarawak winning full oil and gas rights in court—could trigger similar demands from Terengganu and other states as well as negatively affect federal revenue.

The state election outcomes will not impact the federal parliament. Anwar is expected to maintain majority support and remain prime minister. His response strategy involves two levers: higher public spending (the recent budget includes increased cash handouts and minimum wage increases) and expanded lawfare against political rivals, including the opposition Perikatan Nasional (PN) coalition (which faces a deregistration threat).

The general election is due by February 2028 but is expected to be held in late 2027. Anwar will wait unless he loses majority parliamentary support before then—in which case a snap election becomes more likely.

Key watch items

1.
MSCI review timeline: Implementation of 2 November IDX changes and broader enforcement measures are the immediate test; MSCI's next formal review will assess actual impact, not intent.
2.
Indonesian resource nationalism expansion: Monitor whether DSI-related restrictions expand beyond coal, palm oil, and ferro alloys to nickel, refined fuels, or other commodities; watch for oil and gas law

revision.

3.

Philippines Senate impeachment vote: Track the five wavering senators and whether ongoing corruption cases against them influence their votes; a conviction verdict would restructure the 2028 presidential field entirely.

4.

Anwar's parliamentary majority: Watch for defections from BN or other coalition partners in Malaysia that could prompt a snap election call before the anticipated late-2027 window.

5.

Malaysia Sarawak offshore oil and gas dispute: Monitor the mediation track between the Petronas and Sarawak state on oil and gas rights; a court victory for Sarawak is the tail-risk scenario.

6.

Indonesia 2029 election positioning: Track Dedi's national profile-building and any moves by political parties currently within Prabowo's coalition to signal independence.

What clients are asking

Prabowo's rhetorical versus actual response to MSCI: Clients wanted to know which way Prabowo goes if forced to choose. The answer: domestic political considerations will shape his public tone, but market credibility will constrain what his government actually does. The two tracks are not in direct conflict—Prabowo can sound defiant while the government continues implementing reforms.

Indonesia gas cut and Singapore-Indonesia relations: Clients asked whether the gas export reduction signals a material deterioration in bilateral ties. The speakers assessed it does not, noting both countries have strong economic incentives to manage tensions through diplomatic channels. The broader direction of travel—Indonesia prioritizing domestic industrialization over export volumes—is structural and will increasingly feature in future energy contract negotiations.

Resource nationalism expansion beyond gas: Clients asked whether other commodities face restriction risk. Coal, palm oil, and ferro alloys are already within the DSI regime. Refined fuels and nickel are flagged as watchpoints, though no imminent restriction is expected. The government's direction is toward greater interventionism in higher-value commodity exports.

Indonesia 2029 presidential field beyond Gibran: Clients asked who else is emerging. Dedi is flagged as the primary dark horse, with polling already exceeding Prabowo's in some surveys. Anies remains a potential challenger from outside the current governing camp but polls lower. Agus could run independently or as VP depending on coalition dynamics.

Sarawak worst-case scenario for Malaysia's energy policy: Clients asked about the downside of the worst-case scenario—Sarawak winning oil and gas rights in court. This would reduce Petronas revenues materially, impair federal fiscal consolidation, and potentially trigger similar demands from other states, compounding the federal revenue impact.

Please note that while this AI generated summary has been checked for accuracy against the source material, it may not capture every nuance or qualifier from the discussion. The full transcript or audio should be consulted for complete context.

Peter Mumford

Practice Head, Southeast Asia
+65 6653.4316
mumford@eurasiagroup.net
Fadli Yusoff
Analyst, Southeast Asia
yusoff.ne@eurasiagroup.net
Olga Letticia
Associate, Southeast Asia
letticia.ne@eurasiagroup.net
EG Southeast Asia
southeastasia@eurasiagroup.net

© 2026 Eurasia Group. All rights reserved. This material was produced by Eurasia Group for use by the recipient. This is intended as general background research and is not intended to constitute advice on any particular commercial investment or trade matter or issue and should not be relied upon for such purposes. It is not to be made available to any person other than the recipient. No part of this publication may be reproduced, stored in a retrieval system, or transmitted in any form or by any means, electronic or otherwise, without the prior consent of Eurasia Group.
X-HG-DocID cmvrqtv9601uq07myrcn6b9ks

Opt Out | Customize Email Preferences